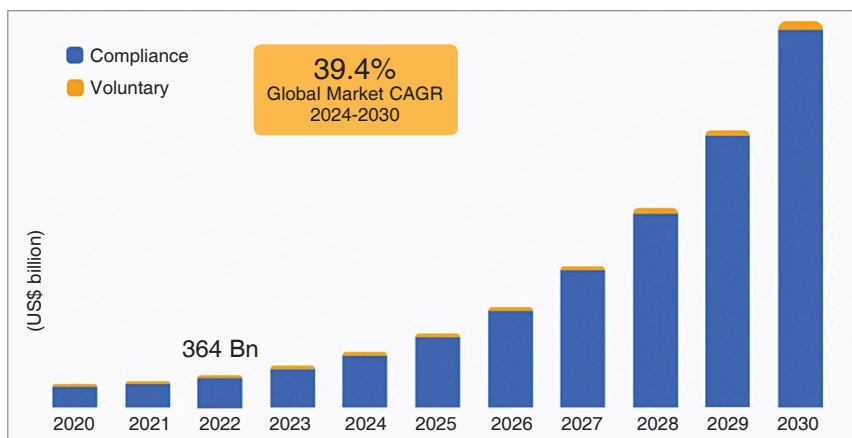




The global carbon credit market (Source: Grand View Research)

extraction or production of materials bought by the company, energy used by resellers in their showrooms, emissions due to the use of the company's products by end-users, emissions during their end-of-life disposal, and so on.

Scopes 1 and 2 are under the highest scrutiny. In some countries, companies are required to report their scope 1 and 2 emissions and may also have to pay a carbon tax. Scope 3 is more complex because it involves many entities not under your direct control, making it difficult to implement changes there. In many countries, addressing scope 3 emissions is not mandatory, but many Fortune 500 companies have voluntarily committed to tackling them.

The first step towards an organisation's net-zero journey is, therefore, understanding and quantifying its carbon footprint. Once that is done, they need to decide which approach they will take to make this net-zero.

Net-zero vs carbon neutrality

The two are different. Carbon neutrality involves balancing or offsetting a company's emissions with corrective measures after the damage is done. Without breaking their heads over improving their processes and products, companies can simply neutralise the effects of their emissions by funding projects such as mangrove afforestation, and

soil sequestration, which reverse the effects of GHG emissions. Invest in enough projects to totally neutralise the ill effects of your emissions, and you become carbon neutral.

But net-zero is a more intense commitment that involves decarbonisation (revamping your products and processes to prevent as much emission as possible), compensating for whatever damage has been done, and voluntarily improving the ecosystem. While a company may start with carbon neutrality goals, net-zero must be the ultimate target. The net-zero approach involves reducing a company's emissions in every possible way using renewable energy, recycled materials, optimising fleets, encouraging employees to go green, and so on.

How to go net-zero

Although each company would have to develop a personalised net-zero roadmap, here are some pointers based on what companies across the globe have been doing towards that goal.

- **Measure your baseline.** Start by measuring current emission levels to understand where you stand.

- **Adopt a scientific and data-driven plan.** Develop your own net-zero roadmap that is data-driven and verifiable. Initiatives such as the Science-Based Targets initiative (SBTi) provide tools to chart a scientific and achievable path to reduce

your emissions. Their approach advocates 50% reductions in emissions by 2030 and more than 90% by 2050, including plans to nullify the effects of past emissions.

- **Go for renewable energy sources.** Transitioning to renewable energy sources is very important. You can build on-campus renewable energy sources like solar or wind, purchase from nearby facilities, or pay a renewable energy farm elsewhere to feed into the grid as many units as you take away from it.

- **Make your infrastructure energy-efficient.** Look for even the tiniest opportunity to improve energy efficiency across your infrastructure. Plug thermal leaks, and go for smart lighting and HVAC solutions.

- **Reduce resource usage at every level.** Optimise your company's resource usage carefully. It is not just energy or emissions, but every single resource, right from raw materials and packaging to floor space and furnishing, because each resource counts.

- **Look into logistics.** Transition to electric or hybrid fleets, and optimise routes to avoid any unnecessary emissions. If you provide a daily commute for your employees, make sure those routes and schedules are optimised as well.

- **Innovate for lasting impact.** This is perhaps the toughest of them all, but the real game-changer. Go for new low-carbon technologies. Leverage the power of AI and automation to minimise emissions across operations. Invest in R&D to reduce the carbon footprint of your products and/or processes.

- **Encourage employees.** Incentivise power savings across your organisation. Quantify the carbon impact of each cost centre and levy a mock tax to help employees understand how much energy they are using. Reward savings. Motivate employees to use less power at an individual level too, by taking the stairs, using public transport, pooling rides, and so on.

- **Work with your supply chain.** Collaborate with vendors and other